

Advice from Investment Counsel. Although the idea of giving investment advice on a fee basis is not a new one, it has only recently developed into an important financial activity. The work is now being done by special departments of large trust companies, by a division of the statistical services, and by private firms designating themselves as investment counsel or investment consultants. The advantage of such agencies is that they can be entirely impartial, having no interest in the sale of any securities or in any commission on their client's transactions. The chief disadvantage is the cost of the service, which averages about $1/2\%$ per annum on the principal involved. As applied strictly to investment funds this charge would amount to about $1/7$ or $1/8$ of the annual income, which must be considered substantial.

In order to make their fees appear less burdensome, some of the private investment consultants endeavor to forecast the general course of the bond market and to advise their clients as to when to buy or sell. It is doubtful if trading in bonds, to catch the market swings, can be carried on successfully by the investor. If the course of the bond market can be predicted, it should be possible to predict that of the stock market as well, and there would be undoubted technical advantages in trading in stocks rather than in bonds. We are sceptical of the ability of any paid agency to provide reliable forecasts of the market action of either bonds or stocks. Furthermore we are convinced that any combined effort to advise upon the choice of individual high-grade investments and upon the course of bond *prices* is fundamentally illogical and confusing. Much as the investor would like to be able to buy at just the right time and to sell out when prices are about to fall, experience shows that he is not likely to be brilliantly successful in such efforts and that by injecting the trading element into his investment operations he will disrupt the income return on his capital and inevitably shift his interest into speculative directions.

It is not clear as yet whether or not advice on a fee basis will work out satisfactorily in the field of standard high-grade investments, because of their relatively small income return. In the purely speculative field the objection to paying for advice is that if the adviser *knew* whereof he spoke he would not need to bother with a consultant's duties. It may be that the profession of adviser on securities will find its most practicable field in the intermediate region, where the adviser will deal with problems arising from depreciated investments, and where he will propose advantageous exchanges and recommend bargain issues selling considerably below their intrinsic value.